

Topic 1 – SEMINAR 1

- Topic: Centralised vs. decentralised provision of local public goods & house price capitalization
- Format: Case Study / Debate
- Questions: Should (to what extent should) the provision of local public services and revenue collection for these services be decentralised?
What role do housing market conditions play?
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Working Sub-Groups A (A1 and A2)

General task

The morning and afternoon seminar groups are each divided into three **working sub-groups** (Morning: A1, B1 and C1; Afternoon: A2, B2 and C2). See the separate handouts for details on the working sub-group allocation. The three working sub-groups A, B and C have the following roles:

- A: Lobbyists for centralised provision** of local public goods (LPGs) and centralised collection of taxes
- B: Lobbyists for decentralised provision** of LPGs and decentralised collection of taxes
- C: Policymakers (“judges”)** who will have to make a judgement call on the proposals provided by the two lobbying groups and who will have to come up with their own proposal

“Homework” to be carried out prior to the seminar

In each seminar group, the members of each of the three working sub-groups have to carry out some “homework”. Your particular homework is outlined below in more detail under **“Specific Tasks for Working Sub-Groups A”**.

Members of working sub-groups A and B will have to prepare arguments for their respective “cause” ahead of the seminar. **Two pre-assigned students per sub-group will present the respective cases of each sub-group in short PowerPoint presentations during the seminar.**

Non-presenters shall also read the case study and the allotted readings; they can help ‘their’ presenters, e.g., by summarising the key insights of the various allotted papers. (Presenters may try to arrange a pre-meeting with other sub-group members or they may allocate tasks to non-presenters; for example, you may divide the readings amongst all members, with the non-

presenters then reporting back to the presenters.) Non-presenters are also supposed to be active during the seminar and support their presenters with their “cause”.

Members of working sub-group C should try to be as “neutral” as possible in their own analysis of the question (i.e., try not to be guided by personal “ideology”). They will have to prepare a list of the pros and cons of more centralised solutions vis-a-vis more decentralised ones. They will also need to prepare critical questions (all students of sub-group C, not just the presenters), which they can then pose to the lobbying groups after their presentations. **Two pre-assigned students of sub-group C will, towards the end of the seminar, present their ‘optimal solution’ in a PowerPoint presentation. This should consider all arguments (pre- and contra-decentralization) in a balanced and neutral way.** (Similar to sub-groups A and B, presenters of sub-group C may invoke the help of the non-presenters.)

At the end of the final presentation, the presenters for sub-group C may also reflect on whether the lobbyists changed their views at all and which lobbying group, in their eyes, made the more convincing arguments.

During the seminar

After a brief introduction by the lecturer, the two presenters for each lobby group (that is, the pre-assigned speakers for sub-groups A and B) have **up to 10 minutes** to make their case to the judges. The case should outline the “solution” the lobby group proposes and the arguments for why the group arrived at this solution.

The judges (and the course lecturer) have **the right to interrupt to ask questions of understanding**. After each lobbyist group finishes their case, judges (and the course lecturer) as well as the ‘counter-lobbyists’ (all students, not just presenters!) have **the right to ask critical questions in an attempt to critically assess the lobbyists’ cases**.

After the debate, the lead judges (pre-assigned presenters for working sub-group C) present their own (balanced) optimal solution. They also have **up to 10 minutes** to do this. The judges may also reveal their verdict of which lobbying group in their eyes made a more convincing case (and why) and to what extent the lobbyists actually altered their views on how Ruritania should be organized.

The course lecturer may provide his own views on the debate and may critically review the verdicts of the judges. We may end with a general discussion that considers the students’ experiences that are influenced by their upbringing in countries with vastly different systems with respect to fiscal federalism/centralised provision of services.

Description of Problem/Case

General information

Democratic countries are sometimes organized in a quite decentralised fashion giving local municipalities not just political but also fiscal power (e.g., the United States or Switzerland). That is, local municipalities can levy their own taxes and are responsible for providing local public goods and services (such as local school services). It should be noted, however, that most 'federally organised' countries have a system of fiscal transfers (or some other equalisation mechanism) in an attempt to equalize the fiscal strengths of different regions/groups.

Often democracies are organized in a rather centralised fashion (e.g., the UK) giving little or no fiscal power to local municipalities. Often standards on local public good/service provision are set nationally (with e.g. the objective to provide the same chances to all school children in the country). In centralised countries, tax collection is often centralised. Central governments typically allocate funding to lower-tier governments (e.g., in the UK these are "local authorities") based on "need". In some countries, it is the central government that actually provides certain local public services and merely delegates administrative tasks to lower-tier governments. It is arguably not per se clear, which system is economically more effective and efficient (question of allocative efficiency) and which system leads to a "fairer" outcome (i.e., offers some protection for the disadvantaged residents).

Dictatorships – in contrast to democracies – almost always have heavily centralised revenue (tax) collection systems and local public service provision is almost always determined by the central government.

Over the last couple of decades, numerous countries transformed from dictatorships to democracies. Often these transformations were accompanied by violent revolutions, sometimes they were the result of a largely peaceful process. During these transformation processes, policymakers are confronted with the question of how "fiscally federal" their country should be structured.

The Case of Ruritania

Consider now such a (hypothetical) **country in transformation**. *Ruritania* is a country with roughly **15 million people**. Until recently the country was ruled by a brutal dictator. Tax collection and provision of local public services **used to be organized in a heavily centralized fashion**. **Corruption** was commonplace and **poverty and unequal income distribution** have been the country's "number one problem" (especially in the poor South of the country).

A relatively peaceful "revolution of the people" led to the overthrow of Ruritania's dictator (who got arrested while trying to flee the country). An election just two months after the revolution gave a slight majority to a moderate centre party (i.e., a party in the centre of the political spectrum, which does not hold strong views on 'fiscal federalism'). The policymakers currently in charge are rather sensible experts and 'technocrats' confronted with very significant problems. They genuinely want the best for their country (their people).

A task force of policymakers (**working sub-group C**) has to decide how exactly Ruritania should provide local public services and how it should collect taxes – in a more centralised or decentralised fashion. (That is, should local municipalities and possibly regional governments have their own power to tax and should they be directly responsible for the provision of local/regional public services?) (Concept of “fiscal congruence”)

In order to reach the best possible decision the policymakers (**working sub-group C**) invite lobby groups (**working sub-groups A and B**) from both sides of the political spectrum (pro-centralised vs. pro-decentralised) to hear them out and subsequently make the best possible decision based on all available information.

Specific Tasks for Working Sub-Groups A

You are hired by a lobbying group that tries to **advocate the centralised provision of local public services (in a sensible way) and centralised revenue collection**. Your end-of-year bonus (which would easily allow you to buy a new car and constitutes a good share of your salary) depends on whether you can convince policymakers (the members of working sub-group C) that your solution is a good one. In order to get the bonus you don’t actually have to believe in your “cause” (although that may help) but you have to try to make the best possible case for your “cause”. (Your course lecturer may also take a view on whether you made a convincing case.)

Your “homework” prior to the seminar consists of three tasks:

(i) Read the following papers:

Basten, C., M. v. Ehrlich and A. Lässig, 2017, „Income Taxes, Sorting and the Costs of Housing: Evidence from Municipal Boundaries in Switzerland,” [*Economic Journal*](#), 127, 653-687.

Rhode, P.W. and K.S. Strumpf, 2003, “Assessing the Importance of Tiebout Sorting: Local Heterogeneity from 1850 to 1990,” [*American Economic Review*](#) 93, 1648-1677.

Tiebout C. M., 1956, “A Pure Theory of Local Expenditures,” [*Journal of Political Economy*](#) 64, 416-424.

This is obviously quite a bit of reading within a short period of time. I suggest you divide up the task within your sub-group (presenters are responsible to approach other sub-group members for help). The main point, for the purpose of the seminar, is that you work out what the main arguments in each of the papers are in favour of your ‘centralization case’. In particular, critically review the unrealistic assumptions of the Tiebout model and note arguments that you derive from each of the three papers in favour of “centralisation”.

(ii) Think about and write down other arguments in favour of “centralisation” based on your own personal experience (i.e., whatever works well in your country in case it is organized in a centralised way – whatever functions less well in your country in case it is organized in a decentralised fashion).

(iii) Think about a possible “evidence-based” strategy / other possible “evidence-based” arguments that will help you to convince the policymakers of your “cause”.

Some further advice

Keep one thing in mind: If your case is too extreme, it is unlikely to convince the ‘neutral’ policymakers. So when you propose a more detailed solution you want to consider carefully whether or not you want to give *any* role to local municipalities. For example, you could propose that taxes are collected by the national government (economies of scale) and distributed in a fair manner to local governments and that the central government determines national standards but gives local municipalities some administrative role in providing local public services to households. You could also consider making two proposals: a more moderate proposal and a more uncompromising one.